

13 Relationship between returns

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2026 objectives: 4.4.3

2 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

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CA1-P2 September 2007 Q1	3 marks
CA1-P2 September 2010 Q5	19 marks
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CA1-P2 | September 2007 | Q1

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Examiner report and original paper: use the links for this question in [index.html](#).

- 1** Explain the relationship between real and nominal government bond yields. [3]

CA1-P2 | September 2010 | Q5

Current topic | 19 marks total | Original PDF p3

Related: Ch 15, Ch 23.

5 The annual gross redemption yield (GRY) on a conventional bond can be expressed as: $\text{GRY} = \text{risk free real yield} + \text{expected inflation} + \text{inflation risk premium} + \text{bond risk premium}$

- (i) (a) State the equation that defines the yield gap traditionally used to compare the relative values of conventional government bonds and equities.
- (b) Show how this equation can be expressed so as to give an indication of the market's view of the relative riskiness of equities compared to conventional bonds.

[3]

The GRY's on two corporate loan stocks with similar features (including currency, term and coupon) issued by companies A and B are 5.5% and 6.0% respectively.

- (ii) Explain why these bonds might have different redemption yields. [4]
- (iii) State the principles of investment. [2]

An insurance company writes a large volume of immediate annuity business. The company is considering using the GRY's on a notional portfolio of conventional bonds for the investment return assumptions it uses in its pricing basis for this line of business.

- (iv) Describe how the notional portfolio could be chosen. [6]
- (v) Discuss the potential problems resulting from using a notional portfolio for such pricing purposes. [4]

[Total 19]

CA1-P2 | September 2011 | Q5

Current topic | 14 marks total | Original PDF p4

Related: Ch 11.

- 5** (i) State the components of both the expected and required returns on equities. [1]

An investment consultant has argued that equities should provide investment returns that are consistently above the level of national earnings inflation, and that they are therefore suitable investments for funds that have real liabilities.

- (ii) Discuss the validity of the consultant's arguments. [8]

A government has recently announced its intention to change the measure of inflation it uses for its inflation target. The new measure of inflation to be adopted has typically been lower and much less volatile than the existing measure. This new measure will be used for:

- State benefit revaluation and public sector pay awards
- The setting of short term market interest rates

- (iii) Explain why these two uses may have opposite effects on the rate of inflation actually experienced by consumers in the economy. [3]

- (iv) Describe how the prices of domestically traded equities may develop in the short term following the adoption of the new inflation measure. [2]

[Total 14]